

Lending Environment

Many different categories of lenders make up the primary lending market.

Savings and loan associations -also called thrifts-specialize in taking in savings deposits and then lending out through mortgages and other loans. They're required to keep their commercial lending at or under 20%, so they're very much tied to consumers and mortgage loans.

Commercial banks -Bank of America, Chase, Citigroup, and the like make consumer and business loans, offer investment products, and take deposits.

Credit unions are member-based cooperatives that provide credit for auto loans and home loans. They take deposits and offer savings vehicles, money markets, and the like. Their rates tend to be pretty competitive.

Mortgage bankers and **mortgage brokers** both concentrate on mortgage lending.

- **Mortgage bankers** actually do the lending. They have in-house loan processors and underwriters. Wells Fargo Mortgage is an example. Mortgage bankers can close pretty quickly because they fund their own loans, but their range of offerings is narrow because it's limited to their own products.
- On the other hand, **mortgage brokers** work with multiple lenders to search for and negotiate the best deal for a particular borrower's circumstances. They don't loan the money out themselves, so they're not tied to a specific suite of loan products.

Some **insurance companies**, like Nationwide, also finance mortgage loans. These companies use their money to finance some types of mortgages.

Finally, there are many **investment groups** that lend specifically to people who want to avoid conventional financing-such as other investors. These investment groups also purchase mortgage-backed securities.